TD Securities

Index Products

Market Structure Bullletin

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Market Structure News

The History of OPR in Canada – It is Not Exactly What You Think?

The Highlights

- The Order Protection Rule (OPR) ensures that visible orders at the best price always get filled prior to trading at a worse price on a competing market. It came into existence in the US as part of Regulation NMS in 2005 and in Canada officially in 2007 when regulators clarified and strengthened rules prohibiting trade throughs. Meanwhile, European regulators are weighing the notion of OPR to help connect disparate liquidity in EU markets, a proposal that does not appear to have support from participants locally.
- Current SEC Chair Paul Atkins dissented on NMS and, in turn, OPR when he was a Commissioner at the SEC in 2005 and some market pundits believe that 20 years later he may consider whether to follow through on his dissent by eliminating OPR in 2025.
- Canada's experience with OPR was much different than the US, partly because Canada did not put in place a central processor for market data (similar to the SIP in the US) and this forced dealers to consolidate market data via vendors and to connect to each new marketplace with visible quotes.
- New marketplaces in Canada took advantage of the broker requirement to connect by immediately charging for market data with no regulatory boundaries in place on fees. Meanwhile, the incumbent exchange was not required to lower data fees as its market share slipped, resulting in higher overall data fees for Canadian participants.
- To address the unfettered proliferation of new markets in the US, some market structure enthusiasts believe that Atkins will eliminate OPR. However, a more likely outcome is for the US to introduce some minimum contribution to price discovery threshold before marketplaces earn order protection.
- Canadian regulators introduced the de minimis rule in Canada and while it did not result in marketplace consolidation, it did stop the data fee increases and caused some potential marketplaces to pause and reflect on the cost-benefit analysis of launching a new market in an un-protected environment with no guaranteed broker connectivity and no immediate market data revenue to use to help fund the trading engine.
- As US participants contemplate next moves on OPR and NMS, it is worth noting that lessons can be learned from the Canadian experience. That said, the backstory in Canada is important context to explain how regulators arrived at minimum thresholds for order protection and partial market data regulation.

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Introduction

The Order Protection Rule that ensures that traders receive the best available visible price is a Made in North America rule that is being contemplated in the EU. The following report explains how the evolution of OPR in Canada differs from the US and had as much to do with market data fees as it did to ensuring connectivity to all marketplaces.

Background

Last month, SEC Commissioner Hester Peirce spoke to a group of economists about the role of market regulation in the capital markets ecosystem. In her speech, Peirce argued that the role of the market regulator is not to equip every investor with perfect information or to micromanage every inch of market landscape. She proceeded to engage in a thought experiment about what markets would look like if the SEC wasn't involved? After all, lots of industries flourish without the need of a regulator to be involved setting the rules for every transaction. As part of her thought experiment, Peirce asks herself the question "would markets be better or worse off for issuers, investors and traders without all the (regulatory) micromanagement?"

Over the past few years the SEC, under Chair Gary Gensler, was accused by industry participants of over-regulation, introducing a myriad of new rules or rule amendments that were confusing, hard to understand, interdependent but issued independently and difficult to implement. Many of these rules have either been orphaned, unwound in the first few months since Gensler left, or been the subject of litigation. This includes equity market structure rules related to tick sizes and access fees currently being litigated by exchange plaintiffs that believe the final rules are too broad and draconian.

As equity market structure enthusiasts debate the likely outcome of the litigation discussed above, this group also is watching closely another topic that Peirce discussed in detail in her speech. That is the seemingly endless proliferation of new exchanges and the apparent lack of diversification of the new offerings save for fee structures. In fact, most of these new exchanges will utilize the same tech stack. If the current slate of applications is approved, then there will be 21 exchanges in total in the United States. Unfortunately, the SEC does not have the power to arbitrarily halt any new exchange offering or to try to pick winners and losers based on value propositions, so each new market that conforms to the application requirements ends up approved, often as the second or third medallion of an existing parent exchange operator. Peirce argues that the Order Protection Rule (OPR), first implemented as part of Reg NMS efforts by the SEC to modernize equity trading in 2005, is to blame for this explosion in new exchanges. The OPR ensures that the best quote in each market is always executed first before trading against any visible orders on another exchange at a worse price This rule forces dealers to connect to each new marketplace immediately (either directly or through a third party) to ensure compliance. Note: there are some exceptions to OPR, one specifically related to sending an order to sweep all markets at once and the risk that better priced orders appear at another marketplace after the sweep order is initiated but prior to its completion).

Interestingly, the new Chair of the SEC, Paul Atkins, himself an SEC Commissioner representing the majority in the mid-2000s, alongside his Republican-appointed peer, Cynthia Glassman, **voted against** the implementation of Regulation NMS and the Order Protection Rule, eventually losing this decision 3-2 as the Chair and the minority Commissioners all voted to approve. Atkins and Glassman worried that OPR reduced competition, would be costly to implement, and created a one-size fits all approach to best execution thereby taking away an investor's flexibility in order execution strategies. The dissenters also raised concerns about excess rents from the sale of market data.

20 years later, with OPR embedded in every aspect of US equity trading, it is hard to imagine a world in which it is eliminated even with a Chair that has been opposed to the rule from its inception. Nevertheless, some market pundits expect Atkins and his recently appointed head of Trading & Markets, Jamie Selway, also a well-known market structure libertarian, to at the very least run OPR to ground and consider options for eliminating or perhaps altering the rule structure's under-pinning.

Meanwhile in Europe, a recent missive from the European Commission aimed at improving the integration of markets included the suggestion that perhaps Europe ought to consider an Order Protection Rule. This move would fly in the face of efforts in North America to decouple exchanges from rules such as OPR that create individual marketplace monopolies through regulatory fiat and result in significant costs for participants with benefits of fiat linkage questionable at best.

OPR – The Canadian Experience

With the US contemplating next steps with OPR and some Europeans musing about introducing OPR in that region, it is worth reviewing the history of the Canadian version as it can provide some guidance for participants in other markets. That said, it is important to understand that there was another factor at play, namely the spiraling cost of market data, unique to Canada that is not relevant in the US given the existence of the SIP. After all, the SIP acts as a natural redistributor of public market data revenues when new markets launch and market share changes as all US exchanges share the same pot of data revenue.

OPR in Canada came about when the CSA first introduced National Instrument 21-101 in December 2001 (known as the ATS Rules) and later amended it in 2007 in an effort to promote marketplace competition. When NI 21-101 was amended in '07, it was after the launch of competing ATSs such as Pure Trading and Omega ATS, the first true marketplace competitors in Canada since the TMX demutualized in 2002. The 2007 amendments included clarification on trade throughs by introducing clear rules requiring full depth of book order protection, meaning better priced limit orders on any marketplace with accessible quotes at any depth in the order book must be accessed prior to trading at a worse visible price on another marketplace.

The launch of competing marketplaces in Canada was seen as a source of frustration and un-necessary complexity by some Canadian brokers as it predated the existence of a central information processor that consolidated quotes (like the SIP in the US) and a lack of useful tools to route away to better priced limit orders on the new ATSs

In the US post NMS, some exchanges offered route away tools to ensure better price limit orders on away venues were executed. In Canada, brokers were forced to use vendors for consolidating quotes and were required to connect to each new venue one by one, a tedious and expensive process that was perceived initially as on the wrong side of any natural cost-benefit analysis. This view was arrived at given the limited order flow that existed on some of the first few competing venues, namely Pure Trading and Omega ATS. In fact, one dealer, BMO Nesbitt Burns, was fined for failing to connect to Omega ATS in a reasonable period of time (in 2008—2009), resulting in a "larger than average" number of trade throughs.

A Period of Rapid Data Fee Increases

One of the primary frustrations for Canadian participants stemmed from the fact that as soon as a marketplace (ATS or exchange) was approved, then order protection rules applied. Meanwhile, these new marketplaces had no restrictions on charging for market data from launch. This meant that marketplace data fees did not have to have any direct correlation to contribution to price discovery. In at least one instance, we witnessed a marketplace that was generating 3-4X in data revenues versus trading revenues a year or so after launch. With brokers now obligated to consume this real time data, and the incumbent exchange under no obligation to reduce fees to correspond to lower market share, this resulted in a parabolic increase in real time data fees for Canadians. Our best guess is market data fees more than doubled during the window between 2008 and when OPR rules were amended in Canada in 2016. To date, this remains a period of unfettered cost increases without any analysis by regulators to determine if these increases were fair and reasonable or in any way correlated to cost of data production. When exchange executives are questioned about cost of data production, they are quick to dismiss the notion that the cost of data fees can be separated from the cost of running a trading engine, a notion the Street has come to know as "Platform Theory." It appears only exchange executives believe in this theory. There is almost no credible independent research that justifies the theory.

The poster child for the Street's frustration in Canada over spiraling market data fees during the '08-'16 window came ironically from a marketplace that was initially owned by many of the brokers complaining about spiraling exchange costs and data fees. Alpha ATS was conceived in May 2007 by a group of Canadian brokers led by RBC Capital Markets and TD Securities with a goal to improve the competitive landscape for trading in Canada and reduce trading costs for participants. However, this was not the end result, as brokers experienced higher trading costs both in terms of data fees and exchange trading fees.

The cause of higher trading fees was due to the proliferation of markets occurring coincident with the arrival of HFTs to Canada. These HFTs, who quickly became the darling customers of exchanges who saw this new class of intermediaries as the golden ticket to market share increases, were needed to connect disparate markets together. In turn, these new HFTs crowded out limit orders from natural investors, resulting in more spread crossing and higher active trading ratios.

At its launch in November, 2008, Alpha's executives, some of whom came from the brokers that launched the new ATS, proudly trumpeted its marketplace slogan as "for the people, by the people," with management promising not to contribute to the parabolic increase in real time data fees. To appear as a good partner to the Street, Alpha stated that it would not charge for real time data "until it creates value," with that market share threshold set at 20%. Sure enough, as soon as Alpha achieved the 20% threshold for the first time in October 2009 (in part due to a large block cross by a broker), the ATS announced it would begin to charge for data on January 1st, 2010 with its initial charge for Level 2 data for professionals set at $72.50, or roughly 20% of the real time data fees in Canada.

Marketplace owners, including shareholders of the publicly traded TMX, were happy about the new and stable revenue stream from real time market data. However, trading desks, who in most cases had nothing to do with monetizing order flow on Alpha but who were promised that competition from Alpha would lower trading costs, began to quickly realize that marketplace competition is different from order competition. All that these trading desk participants had to show for the competitive landscape was higher costs. The true winners were the marketplaces and HFTs that were attracted to Canada by the explosion of multiple marketplace trading and the need for high speed trading firms to stitch together prices across markets. Meanwhile marketplaces craving market share were willing to cater to the every need of these firms new to the Canadian trading landscape.

The Introduction of DFM and Minimum Threshold for OPR

With marketplace proliferation in Canada at its peak, and venues starting to launch multiple medallions with differing fee structures, costs continued to skyrocket and dealers vented frustration to Canadian regulators. After several years of discussions and rule proposals, the CSA eventually landed on new rules for market data fees (known as the Data Fee Methodology – DFM) which required some correlation between market share for a marketplace and its proportion of overall real time fees paid for by participants. In addition, the DFM introduced a rule that required marketplaces to have a 2.5% share of overall contribution to price discovery (using a methodology that establishes marketplace fee ranges based on a formula that allocates share equally to quotes during the regular session and trades) and no discriminatory order types (such as non-uniform speed bumps) to continue to receive order protection.

Whether coincidental or a result of the new data fee methodology and order protection threshold, no new marketplaces launched in Canada for several years. Meanwhile, marketplace data fee structures were forced to recalibrate to conform to the data fee formula established by the CSA. As it turns out, the Alpha Exchange was sold to the TMX in 2012 and shortly thereafter turned into an inverted trading fee structure venue which resulted in Alpha's market share went from whatever it was at its peak, maybe 15% but certainly not 20%, to 5% post change. As a result of the DFM, Alpha was required to lower its real time data fees by close to 75% over the next couple years after 2016.

That said, given that the DFM only applied to domestic data users, non-domestic subscribers to real time data fees are still paying the original Alpha data fee charges of $72.50 (in $USD to boot), something we continue to criticize the exchange for not adjusting. Note: earlier this year, the CSA convened a group of market data professionals in Canada to review market data fees and the DFM. It is expected that the Group's recommendations will be shared by the CSA later in 2025, but folks that want to see lower data fees should not hold their breath for this outcome. Also, the introduction of DFM did not result in brokers disconnecting en masse from existing marketplaces under the OPR threshold. This is because the heavy lifting of connectivity up front represents the bulk of the cost to brokers.

Unlike in the first couple years after DFM, the past two years has witnessed a proliferation of new marketplaces in Canada, most of which are designed using innovative smart market models that employ matching logic that does not include immediate access to quotes. Each of these new markets remains unprotected and activity levels across the new venues are mixed.

Conclusion

Markets in Canada have clearly evolved past the notion that Order Protection is a pre-cursor to success. On the one hand, it can be viewed as a positive that venue launches have not become extinct, but instead have evolved to bring new and innovative ideas to the market, not just another fee structure. On the other hand, each of these new market models brings with it added complexity, leading to further questions about the original thesis of NMS/trade through rules. In fact, as is the case in the US, there is a growing school of participants in Canada that believe that OPR is a concept that is past its best before date. It will be interesting if this is the conclusion of the Atkins SEC as it revisits rulemaking in the US equity market under an expected over-arching libertarian mantra for equity market structure. As for Canada's lot in life, it is good to know that the spiraling cost of real time market data has been reined in. However, Canadian participants are still not happy as regulators have to date not addressed the period of unfettered data fee increases that existed between the launch of competing markets and the creation of the DFM.

Exhibits

Exhibit 1 – Events / Conference Calendar

Date	Name	Description / Contact Info
November 6, 2025	26th Annual TD Securities Portfolio Management and Market Structure Conference	TBD - Toronto

Podcasts

Latest Episode #71: Exploring Market On Close Facilities – Part 1 – The Americas

Previous Episodes	
Episode 70	Paul Atkins and the New SEC Administration
Episode 69	Coming Home – A Detailed Look at Canadian Equity Market Structure
Episode 68	A Market Data Makeover for the US
Episode 67	Index Potpourri for 200 - Digging in on the Myriad of Index Issues Affecting Global and Domestic Benchmarks
Episode 66	Exploring Pension Fund Issues Impacting the Maple 8
Episode 65	In Conversation with a Market Structure Lifer – Brett Redfearn
Episode 64	Checking in on APAC Equity Market Structure – Part 2
Episode 63	Checking in on APAC Equity Market Structure – Part 1

Appendix A: Important Disclosures

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